

PRINCIPLES OF ACCOUNTING 1



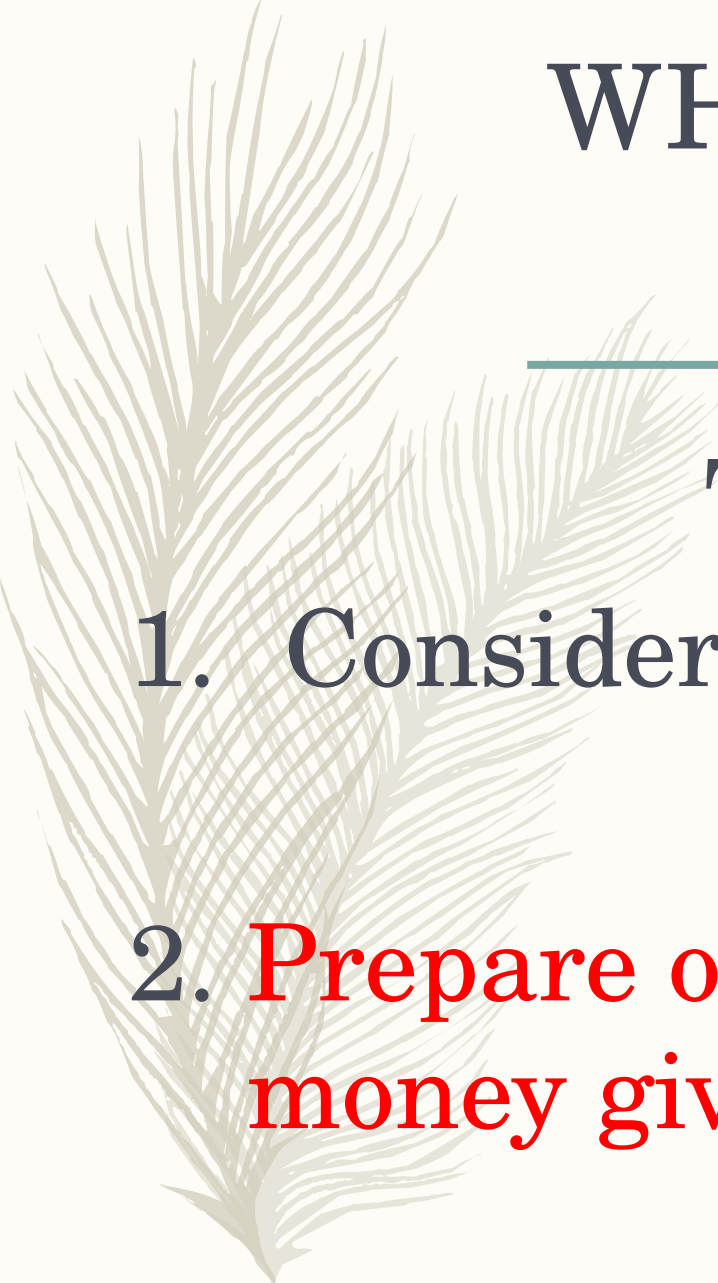


CHAPTER1: ACCOUNTING AND THE BUSINESS ENVIRONMENT

WHAT DO YOU UNDERSTAND BY PRINCIPLES?

- 
- MAIN BELIEF
 - CODE
 - RULES
 - REGULATIONS

- PHILOSOPHY
- DOCTRINE
- FUNDAMENTALS
- STANDARDS



WHAT IS ACCOUNTING

TO ACCOUNT (VERB)

1. Consider or regard in a specified way.
2. Prepare or present a record an account of money given or received.

WHAT IS ACCOUNTING

ACCOUNT AS A WORD / VOCABULARY

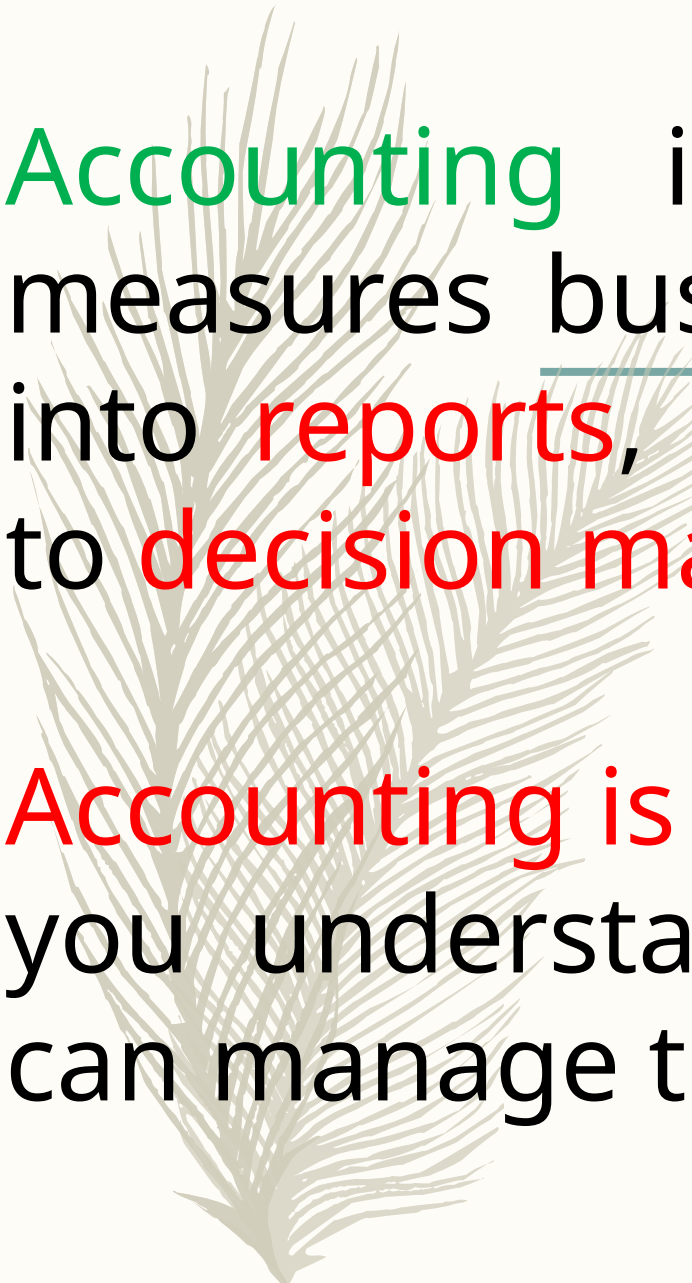
– a record or statement of financial expenditure and receipts relating to a particular period or purpose.

INTRODUCTION

- One may dream of running his or her business. Where does he or she begin? How much money does it make? How will he or she measure success or failure? To answer all those such questions and other related to those questions the investor must have accounting system updated to give the fundamental elements useful to the decision making.



1.1 OBJECTIVES AND DEFINITION OF ACCOUNTING



Accounting is the information system that measures business activity, processes the data into **reports**, and communicates the resultants to **decision makers**.

Accounting is a language of business. The better you understand the language, the better you can manage the business.

WHAT IS ACCOUNTING THEN?

Definition One

- **Accounting** is defined by the American institute of certified public accountants (AICPA), terminology committee as follows: “the art of recording, classifying and summarizing in a significant manner and in terms of money transactions and events which are in part at least of financial character and interpreting the results thereof ...”.

If we analyze this definition of accounting, we can say that:

It helps managers at different levels to know how much their companies have in terms of assets of business, liabilities, and profit or loss earned.

Art of recording: every item entered in the books of accounts must be recorded in terms of money.

Art of Classifying: all transactions are recorded in a classified manner and in their special books or accounts.

Art of Summarizing: at the end of every year the accounting must prepare the business' situation to be presented to different users of financial information. By doing this, the accounting helps the business founders or owns to know the business performance.

Art of financial character: whatever is not directly of financial character will not be found in the books of accounting.

Interpreting the results thereof: the rules and regulations of accounting provide that all the transactions within the organization or company have to be prepared based on IFRS and used in their interpretation in financial statement.

It is therefore a service activity meant to provide quantitative information about economic entities (Businesses). Its information is primarily financial in nature and is intended to be useful in making economic decisions. Economic entities include hospitals, schools, cities, governmental agencies, private non-profit oriented and profit-oriented businesses.

The true purpose of accounting is to maintain proper control of finances of a business. This is achieved by:

- (i) Accurate recording of data
- (ii) Classifying the summarized data
- (iii) Analyzing and interpreting the classified data
- (iv) Communicating what has been learned to interested parties.

Defintion 2

Generally, the accounting is defined as **technique or system that consists of identification, recording, classifying, summarizing and communicating the financial transactions occurred in the company.**

- a. **Identification**: in this stage accounting provides the identification of all economic activity or operations occurred in a given company during the whole accounting period.
- b. **Recording**: under this stage accounting analyzes and records chronologically all the transactions occurred within the organization. This task is done by using the accounting journal.
- c. **Classification**: in classification all transactions recorded in journal have to be reported into different accounts used in the company.

d. Summarizing: all the transactions occurred in the accounting of any entity can not be presented in the nature they occurred, they have to be summarized so that the users of financial information may know that happened in a proper way without reading transaction by transaction. So the summary is mostly presented into financial reports which give the summary of those transactions occurred in the company in a given period.

e. Communication: the accounting serves a lot in communicating the business' situation or state to different users of its information and helps managers to take relevant and viable decision on time. So the financial reports must be legally valid. The profession of accounting provides the nature of those reports in terms of financial statements and they are: **income statement, statement of change in equity, balance sheet, statement of cash flows.** It is also necessary to add notes for some details needed. This definition can be summarized as the accounting information system:

Information / Transactions identification.

At this level we only select transactions that are related to the business and they must be valid and legally supported

Information/ Transactions recording.

Only valid and legally supported transactions are recorded

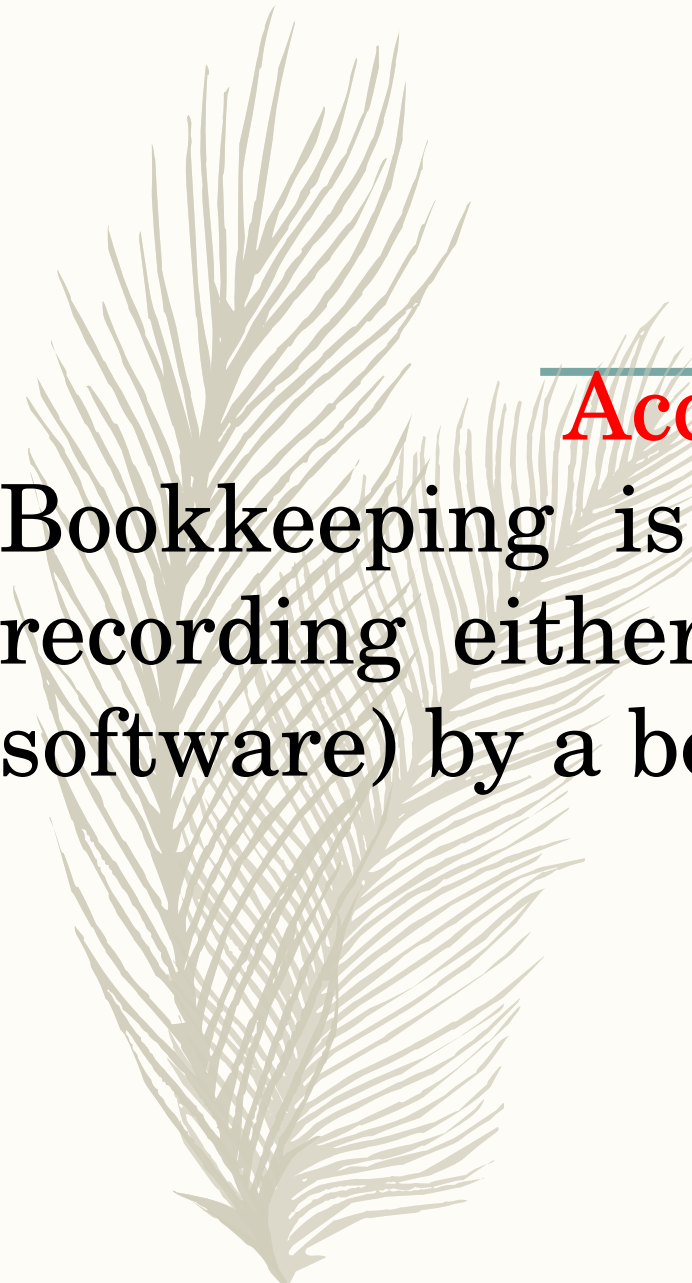
Information/ Transactions analysis.

Post transactions in their respective ledgers and finally extract balances / T Bal.

Information reporting.

Now those transactions are summarized into 4 reports.





Accounting and Bookkeeping

Bookkeeping is a part of accounting involved with recording either manually or by machine (computers software) by a bookkeeper.

Accounting and Computers

Computers are used in processing accounting data but don't substitute understanding fundamental concepts and principles of accounting.

Why study accounting?

- All are users of accounting information, therefore it will give you a clear understanding on how figures are gathered and put together.
- Understand accounting terminology and concepts
- To have a career, this is interesting and rewarding.

Accountancy as a profession

For one to become a professional accountant, you must be a licensed Certified Public Accountant (CPA) after some examination and work experience.

The work of an accountant

Accountants are employed in three broad fields

- a) Public Accounting
- b) Private Accounting
- c) Government Accounting

1.2 TYPES OF ACCOUNTING

Accounting is usually seen as having two distinct strands:

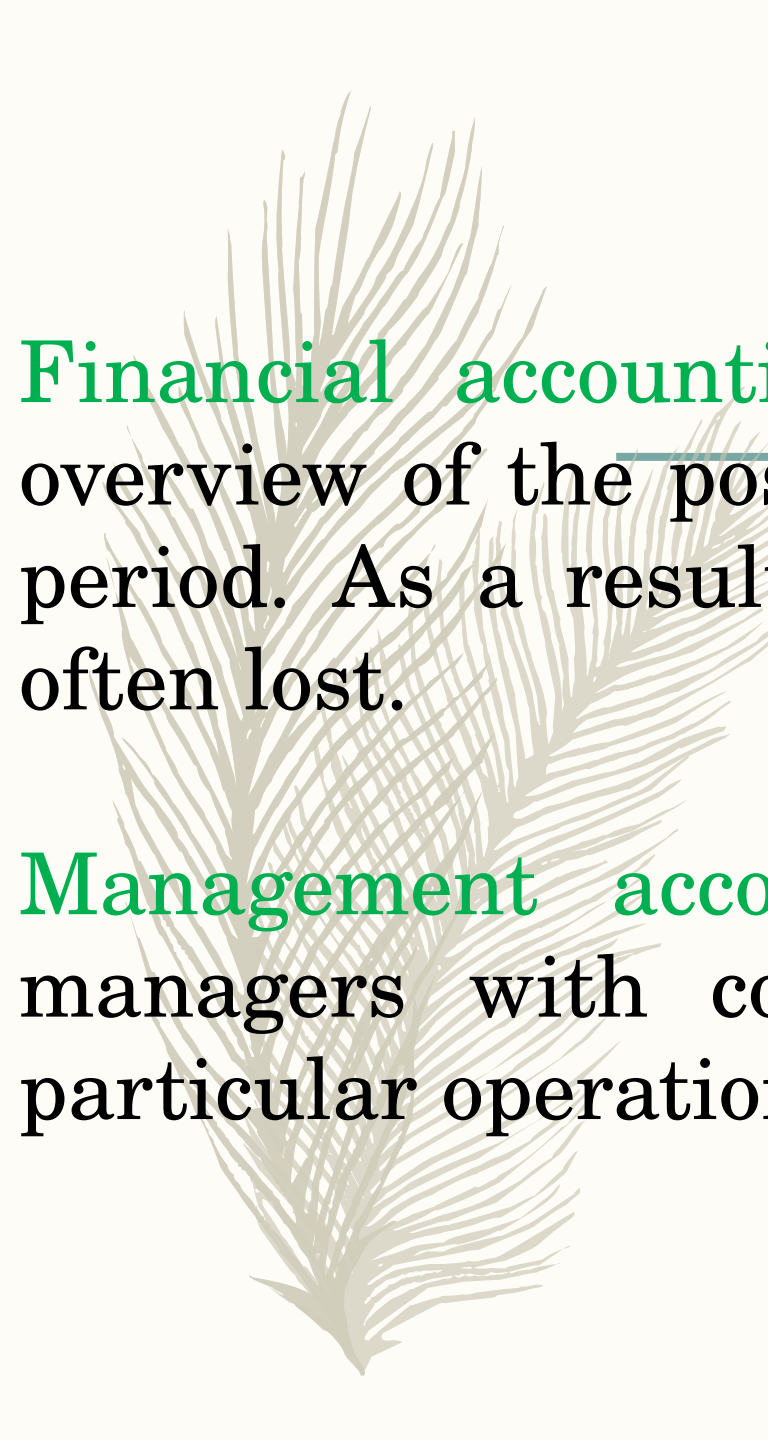
- **Financial accounting:** This seeks to meet the accounting needs (4 reports or Financial Statements) of all the other users (Decision Makers).
- **Management accounting:** This seeks to meet the needs of a business's managers.

The differences between the two types of accounting reflect the different user groups that they address. Briefly, the major differences are as follows:

- **The nature of the reports produced.**

Financial accounting reports tend to be general-purpose reports. That is, they contain financial information that will be useful for a broad range of users and decisions rather than being specifically designed for the needs of a particular group or set of decisions.

Management accounting reports, on the other hand, are often specific-purpose reports. They are designed either with a particular decision in mind or for a particular manager.

- 
- **The level of detail.**

Financial accounting reports provide users with a broad overview of the position and performance of a business for a period. As a result, information is aggregated and detail is often lost.

Management accounting reports, however, often provide managers with considerable detail to help them with a particular operational decision.

Regulations

Financial reports, for many businesses, are subject to accounting regulations , Rules, Laws, Principles, IFRS.... that exist to try to ensure that they are produced according to a standardized format.

Because management accounting reports are for internal use only, there is no regulation, Rules, Laws, Principles, IFRS .They can be designed to meet the needs of particular managers.

Reporting interval

For most businesses, financial accounting reports are produced on an annual basis (31st/Dec,yyyy). However, large companies may produce semi-annual reports and a few produce quarterly reports depending on their needs.

Management accounting reports may be produced as frequently as required by managers (on hour basis, daily basis, weekly basis, monthly basis.... to allows Managers to check progress frequently.

In many businesses, managers are provided with certain reports on a daily, weekly or monthly basis.



Time horizon.

Financial accounting reports reflect the performance and position of the business for the past period. In essence, they are backward-looking.

Management accounting reports, on the other hand, often provide information concerning future performance as well as past performance.

Range and quality of information.

Financial accounting reports concentrate on information that can be quantified in monetary terms.

Management accounting also produces such reports, but is also more likely to produce reports that contain information of a non-financial nature, such as measures of physical quantities of stocks and output.

Financial accounting places greater emphasis on the use of objective, verifiable evidence when preparing reports.

Management accounting reports may use information that is less objective and verifiable in order to provide managers with the information that they require.

Assignment 1

A) AICPA defined Accounting as the art of recording, classifying and summarizing in a significant manner and in terms of money transactions and events which are in part at least of financial character and interpreting the results thereof ...”.

B) Generally, the accounting is defined as technique or system that consists of identification, recording, classifying, summarizing and communicating the financial transactions occurred in the company.

C) Accounting is the information system that measures business activity, processes the data into reports, and communicates the resultants to decision makers. Accounting is a language of business. The better you understand the language, the better you can manage the business.

If we combine all these 3 Accounting definitions we discover that Accounting is the **information system** related to **the art** of **identifying, recording, classifying** and **summarizing**, in a **significant manner** and in **terms of money transactions and events which are in part at least of financial character**. The result of the above process is the production of **four financial Reports** or Financial Statements to **be communicated** and **Interpreted** to **Both users** for further **decision making**.

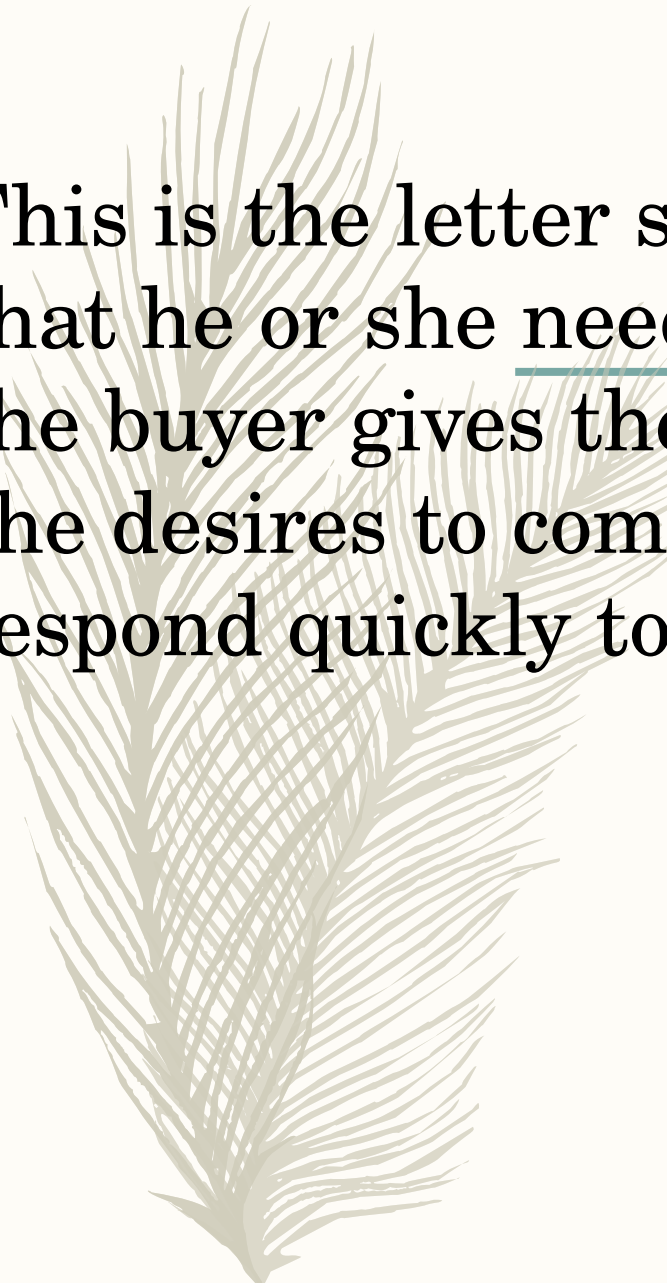
Required: Explain each word (Accounting technical Term) in red found in the above definition.
Note: Be brief, specific and use technical Accounting terms in your discussions. Do not exceed 2 lines (maximum) for each technical term.

1.3 JUSTIFICATIVE DOCUMENTS IN BUSINESS TRANSACTIONS

This shows or captures transactions. Source documents are collected filed and posted in the books of prime entry.

Some of the most important source documents are:

- Purchasing order
- purchases invoices
- sales invoices
- credit notes
- debit notes
- receipts, cheques and petty cash vouchers
- other correspondences in business



A. Purchasing order

This is the letter sent by the buyer to the seller informing him that he or she needs the goods or services. In this evidence the buyer gives the full information in detail about what he or she desires to command in the coming days. The seller has to respond quickly to this order.

B. Sales invoice

The sales invoice is raised by the firm /Supplier/Seller and sent to the customer or buyer / Purchaser / Debtor /Acquirer when the firm makes a credit sale or when the customer is in need. The sales invoice contains the following information._____

- The name and full address of the seller;
- The name and full address of the buyer or customer;
- Date of making the sale or invoice date;
- Invoice number
- Amount due (net of trade discount)
- Quantity of goods to sell;
- Description of goods sold;
- Terms of sale
- Signature.

C.Purchasing invoice

A purchase invoice is raised by the creditor or seller and sent to the firm when the firm makes a credit purchase. It shows the following:

- ❖ name and full address of the seller;
- ❖ name and address of the buyer or customer;
- ❖ date of purchase (invoice date);
- ❖ invoice number;
- ❖ amount due;
- ❖ description of goods sold;
- ❖ terms of sales
- ❖ signature

D. Credit note

A **credit note** is raised by the firm and issued to the debtor when the debtor returns some goods back to the firm.

The purpose of credit note is to inform the debtor or customer, buyer that the debtor's account within the firm has been credited i.e the amount due to the firm has been reduced or cancelled.

The credit note may also be issued when the firm gives an allowance of the amounts due from the debtors. From the context we can assume that all credit notes are issued when goods are returned.

Its contents include:

- name and full address of the firm/creditor;
- name and full address of the debtor;
- amount of credit
- credit note number;
- reason for credit
- signature

E. Debit note

This is raised by the creditor and issued to the firm when the firm returns some goods to the creditor.

The purpose of the debit note is to inform the firm that the amount due to the creditor has been reduced or cancelled.

It includes the following:

- name and address of the firm
- name and address of the creditor
- amount of debit note;
- debit note number;
- reason for the debit note
- signature.

F. Receipts/ Electronic Billing Machine (EBM)

A receipt is raised by the firm and issued to customers or debtors when they make payments in the form of cash or cheques.

Its features include:

- The name and address of the firm;
- The date of the receipt;
- Amount received (cash or cheque or other means of payment);
- Receipt number.
- And the signature.

G. Check

When a firm opens a current account with the bank, the bank issues a checkbook containing checks. The checks allow the firm to make payments against the account with the bank.

When a firm issues a check to its creditors for payments, it authorizes the bank to honor payments against the firm's account with the bank.

The check contains the following information:

- ❖ name and account number of the firm (account holder);
- ❖ the date of the check;
- ❖ name of the payee(creditor);
- ❖ name of the firm's bank;
- ❖ amount payable in words and figures;
- ❖ check number;
- ❖ authorized signature(s).

H. Petty cash vouchers

A **petty cash voucher** is raised by a cashier to seek authority for payments (payments of small value in the firm which require cash payments e.g. fuel, office supplies, etc...), which is approved by a senior manager and filed for record purpose. This shows:

- date of payment;
- amount paid out;
- reason for payment;
- authorized signature(s);
- person approving;
- person receiving.

Notes: the person receiving the money must return with a document supporting how the money was used. E.g. fuel receipt and bus ticket for the good recording of transaction made.

I. Other correspondence

These include information received within or outside the firm that has a financial implication in the accounts. For example:

- Letters from firm's lawyers about the debtors balance;
- Bank statement from the bank showing bank charges;
- Hire-purchase/credit sale or credit purchase agreements that relate to non-account assets;
- Memorandum from a senior manager requiring changes to be made in the accounts.

ASSIGNMENT 2

Q1 Choose the best statement (1 mark)

- a. All business transactions may be supported
 - b. All transaction may be legally justified
 - c. All business transactions must be legally Supported before recording.
-

Q2. On 01/01/2024 Clemence LLC sells on credit goods equals to 200,000\$ to Joanna LLC. Choose the best statement (1mark)

- a. Sales invoice from Clemence LLC is considered as Purchases Invoice on behalf of Joanna LLC.
- b. This sales invoice is payable not later than 30/01/2024 (date of issuance included)
- c. Payment must be done in 30 days, weekend and day off excluded.
- d. Sales invoice is an obligation on behalf of Joanna LLC and right on behalf of Clemence LLC
- e. a,b,c are correct
- f. a,b,d are correct
- g. All statements are true
- h. No correct statement.

1.4 ECONOMIC FLOWS OR BUSINESS TRANSACTIONS

A business may enter into transactions with outside parties that affect the firm's financial position. Examples include the purchase of office supplies, the performance of a service for others, the performance by others of a service for the firm, borrowing cash from bank, and purchase of equipment.

These transactions are recorded by the accountant and are called external transactions because there is an exchange of economic resources and or obligations between the firm and one or more outside parties.

In other words, in an external transaction the firm gives up something and receives something in return.

Other business activities that do not involve a transaction with outside parties are recorded because they affect the relationship between the firm's assets, liabilities, and owner's equity.

Use of office supplies by an employee and use of equipment to perform a service are examples of internal transactions.

The term transaction is often used to refer to all events that are given accounting recognition.

Some events of importance to the firm are not recorded because there has not been an exchange of goods or services.

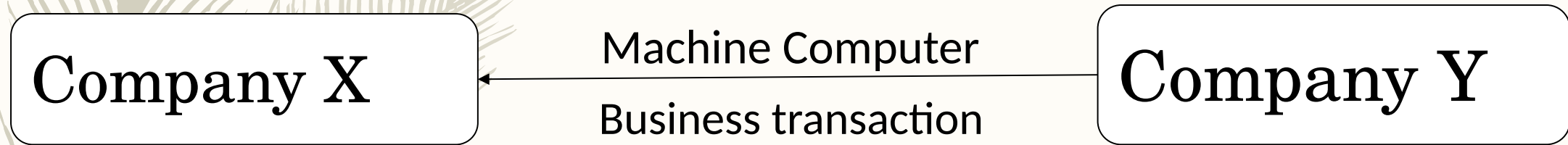
Examples include receiving an order from the customer, entering into commitment to purchase an asset in the future, the hiring or retiring of an employee, and changing interest rates.

These examples are not recorded because a transaction has not taken place at this point. In other words, initially such events do not affect the firm's recorded assets, liabilities, or owner's equity. The events will be given accounting recognition in the future if an exchange takes place.

Financial accounting is based on a framework of rules for determining which events constitute accounting transactions.

Two of the difficulties you will encounter in the study of accounting are determining **which events to record** and deciding at **what stage an event should be given accounting recognition**. Unfortunately, there are no simple rules.

Example: the company X acquires the computer machine from the company Y at 600,000 rwf and pay cash immediately. The transaction flows will be:



If we analyze this transaction, we find that one company buys a machine from another company. The first one is called the buyer or acquirer or **customer of the company Y**. the second company is called **the seller or the supplier of the company X**. The value of that machine is 600,000 rwf is the value.

Company Y

Company X

Ressource
(origin)

Machine, value: 2.000.000 rwf

Use(Destination)

Economic flow/B T

The origin of the transaction is the company Y and the destination or user of machine is the company X.



1.5 APPLICATIONS OF BUSINESS TRANSACTIONS AND THEIR CATEGORIES

During the year 2023, the “KIRIKU ltd Co” had realized the following transactions:

1. bought 20 boxes of Rwanda tea to Rwanda Mountain Tea for frw 10,000 a box
2. Acquired 20 out speakers from RBA and paid frw 90,000per out speaker.
3. Payments respectively of Frw100,000 and Frw40,000 to RMT and RBA.
4. Sales of 5 boxes of Rwanda tea to Serena Hotels for Frw 15,000each
5. Payment of Frw 20,000 to RBA for the publicity done for the ended year
6. Payment of Frw 2,000, 000 to James Plc as rent of house to Frw 400, 000 per month
7. Payment of wages Frw 20,000 to casual workers of the company.
8. Deposit of Frw 5 000,000 at Bank of Kigali for saving.

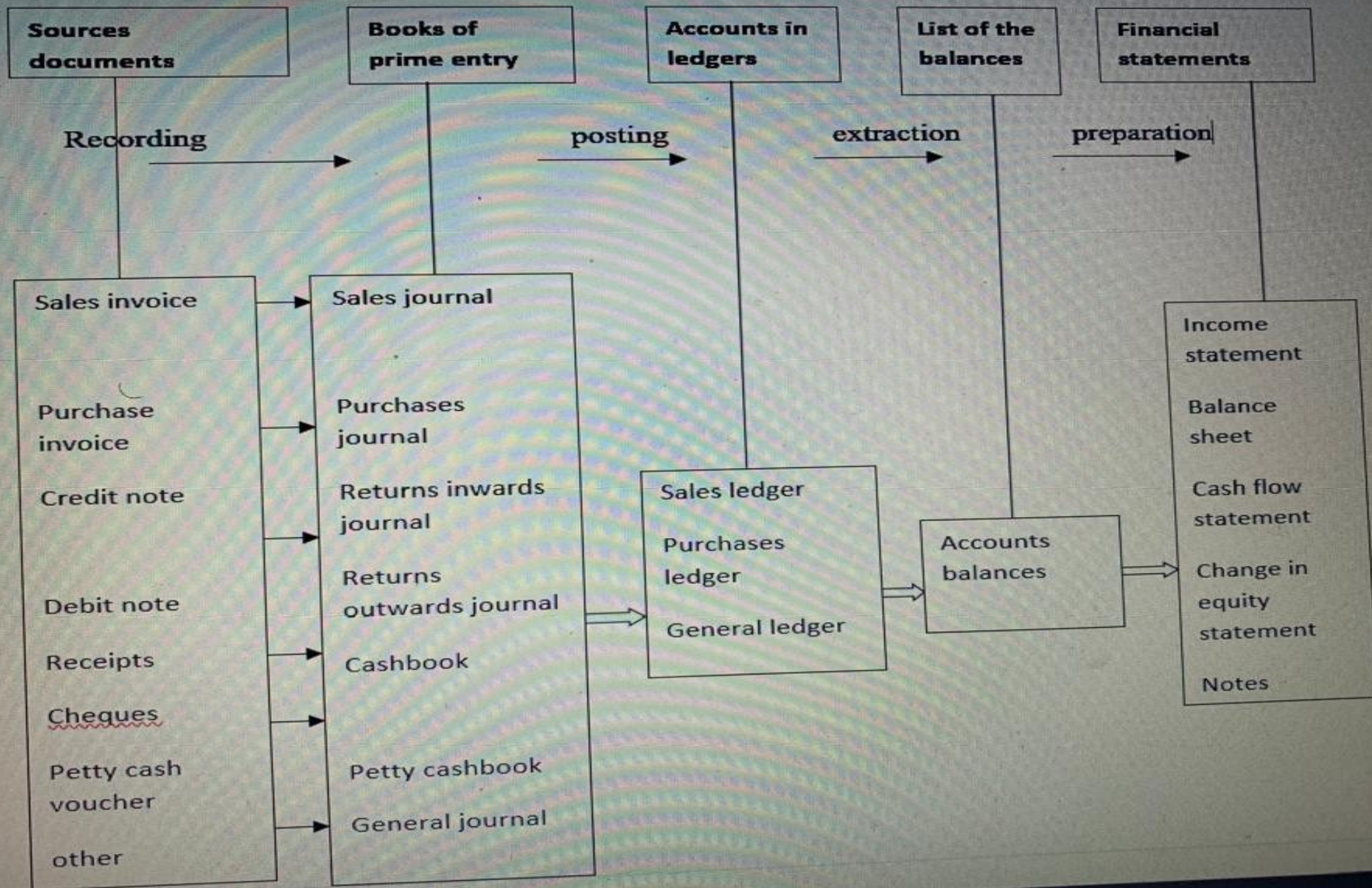
Required: make presentations of the above transactions on the behalf of KIRIKU ltd Company by showing the transactions that are physical, financial, implicit, explicit, internal and external to that company

Notice: A transaction is:

1. **Physical:** when it involves the movement of the goods or other tangibles assets
2. **Financial:** when it involves the use of cash or other payment instrument
3. **Internal :** when is held only inside a company or within a the same company
4. **External :** when involves at least two or more companies or parties
5. **Explicit :** when it involves the immediately payment of cash for the bought goods or service
6. **Implicit:** when it involves the debt for the sold goods or services.

1.6 ACCOUNTING INFORMATION SYSTEM

The following diagram shows the components of an accounting system for a firm that carries out trading activities. Remember that the accounting transactions or activities are based on source documents that permit recording of their evidence where the documents are recorded and the postings to make.





This diagram will be described in next coming chapters where we will be practically discussing the recording, posting, extracting and then preparing the final reports of business companies.

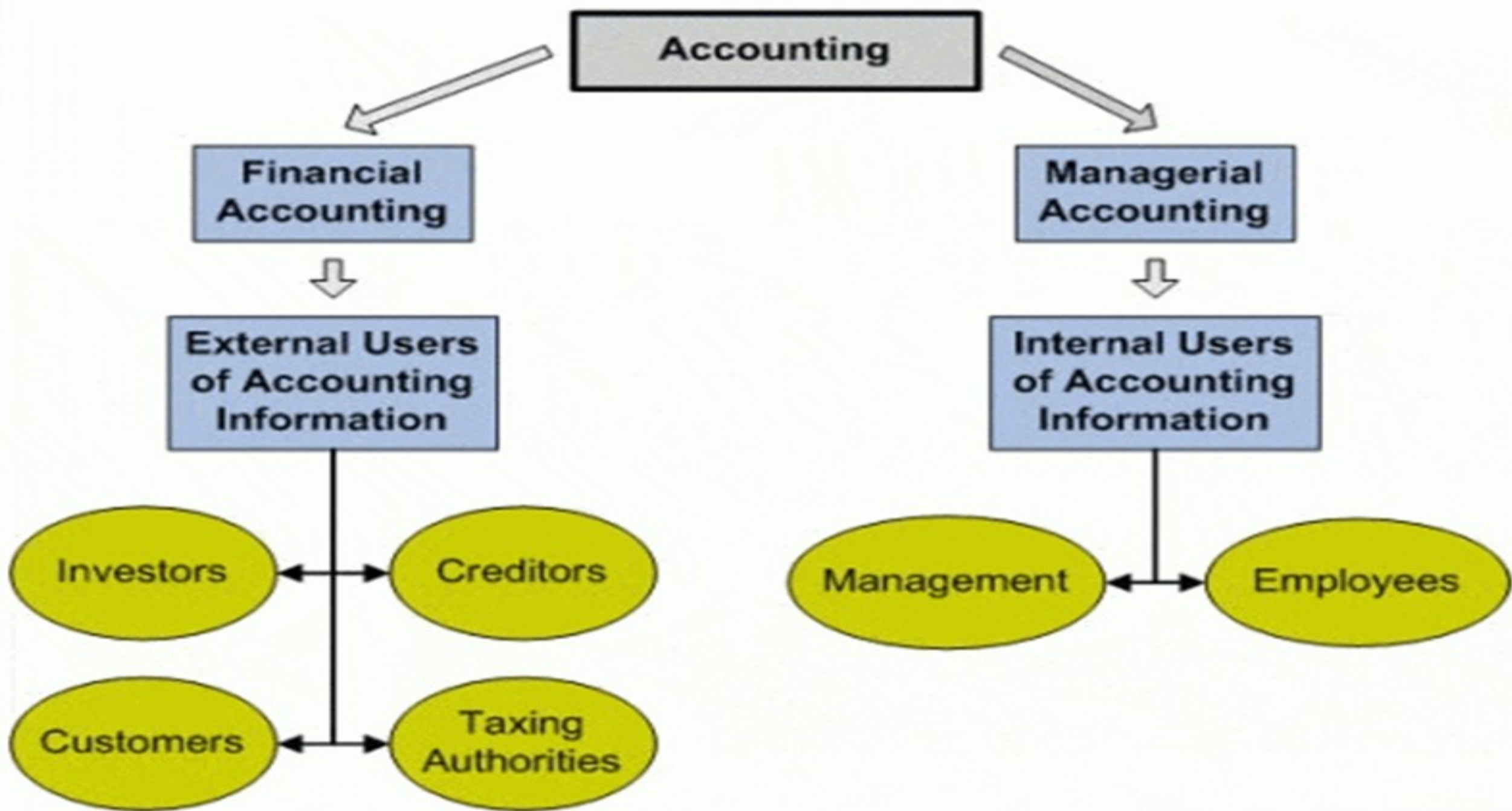
1.7 USERS OF ACCOUNTING INFORMATION

Accounting information is produced in form of financial statement. These financial statements provide information about an entity financial position, performance and changes in financial position.

Then financial position of a firm is what the resources the business has and how much belongs to the owners and others.

The financial performance refers to how the business has performed, whether it has made profits or losses. Changes in financial positions determine whether the resources have increased or reduced.

The users of accounting information have an interest in the existence of the firm. Therefore, the information contained in the financial statements will affect the decision making process.



DECISION MAKERS

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graph TD; DM[DECISION MAKERS] --- M[MANAGEMENT]; DM --- DFI[THOSE WITH DIRECT FINANCIAL INTEREST]; DM --- IFI[THOSE WITH INDIRECT FINANCIAL INTEREST];
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MANAGEMENT

Finance
Investment
Operations and
Production
Marketing
Human Resources
Information Systems
Accounting

THOSE WITH DIRECT FINANCIAL INTEREST

Investors
Creditors

THOSE WITH INDIRECT FINANCIAL INTEREST

Tax Authorities
Regulatory Agencies
Labor Unions
Customers
Economic Planners

1. Managers

The managers are involved in day-to-day activities of the business. They would like to have information on the financial position, performance, and changes in financial position so as to determine whether the business is operating as per the plans. In case the plan is not achieved then the managers come up with appropriate measures (controls) to ensure that the set plans are met.

2. Customers

They rely on the business for goods and services. Then the customers would like to know how the business is performing and its financial position. This information would enable them to assess whether they can rely on the firm for future suppliers.

3. Suppliers or creditors

These people supply goods or services to the firm. The suppliers are either for cash or credit. The suppliers would like to have information on the financial performance and position so as to assess whether the business would be able to pay up for the goods and services provided as and when the payments fall due.

4. Lenders

These are people and institutions that have main activities of funding other companies. They have to provide loans and other sources of capital to businesses. Such lenders include banks and other financial institutions. They would like to have information on the financial performance and position of the business to assess whether the business is profitable enough to pay the interest on loans and whether it has enough resources to pay back the principal amount when it is due.

I need a loan.



Let's see your
financial statements.



Here's my income
statement.



5. Government and its institutions

The government is interested in the financial performance of the business to be able to assess tax to be collected in the case there are any profits made by businesses.

Then the other government agencies are interested with the financial position and performance of the business to be able to come with national statistics of different natures. These statistics measure the average performance of the economy.

6. Employees

These people are daily working in different business entities. They would like to have information on the financial position and performance so as to make decisions on their terms of employment.

This information would be important as they can use it to negotiate for better terms including salaries, training and other benefits. They can also use it to assess whether the firm is financially sound and therefore their jobs are secured.

7. The Financial Analysts advisors

Financial analysts and management advisors interpret the financial information. Examples include stockbrokers who advise investors on shares to buy in the stock market and other professional consultants like accountants. They are interested with the financial position and performance of the firm so that they can advise their clients on how much is the value of their investments i.e. whether it is profitable or not and what is the value. Other advisors would include the press who will then pass the information to other relevant users.

8. Public

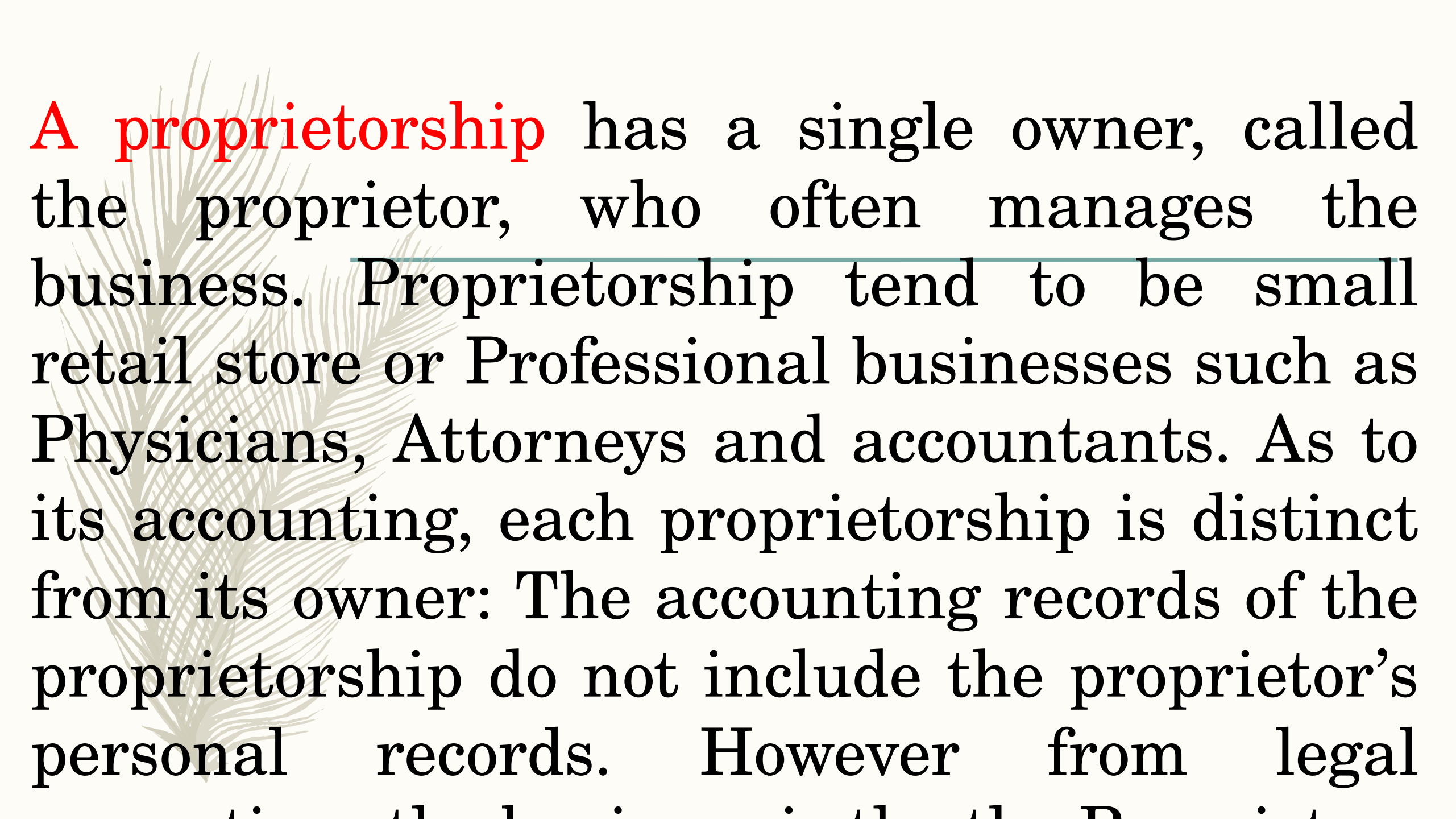
Institutions and other welfare associations and groups represent the public. They are interested with the financial performance of the firms. This information will be important for them to assess how socially responsible is the firm.

This responsibility is in form the employment opportunities the firm offers, charitable activities and the effect of firm's activities on the environment.

TYPES OF BUSINESS ORGANIZATIONS

1. Sole proprietorship

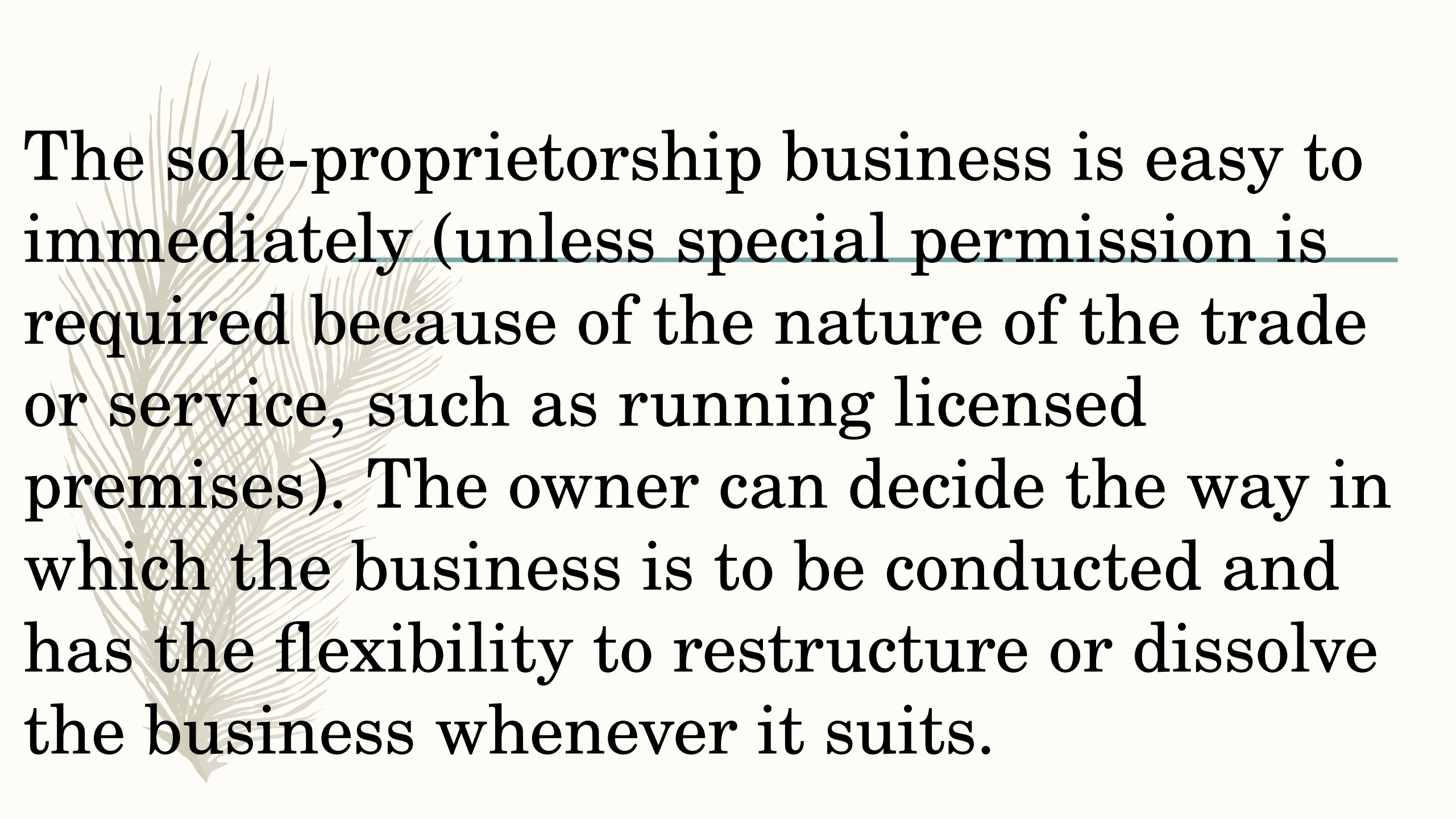
Sole proprietorship as the name suggests, is where an individual is the sole owner of a business. This type of business is often quite small in terms of size (as measured, for example, by sales generated or number of staff employed); however, the number of such businesses is very large indeed.



A proprietorship has a single owner, called the proprietor, who often manages the business. Proprietorship tend to be small retail store or Professional businesses such as Physicians, Attorneys and accountants. As to its accounting, each proprietorship is distinct from its owner: The accounting records of the proprietorship do not include the proprietor's personal records. However from legal

Examples of sole proprietorship businesses can be found in most industrial sectors but particularly within the service sector.

Hence, services such as electrical repairs, picture framing photography, driving instruction, retail shops and hotels have a large proportion of sole-proprietorship businesses.



The sole-proprietorship business is easy to immediately (unless special permission is required because of the nature of the trade or service, such as running licensed premises). The owner can decide the way in which the business is to be conducted and has the flexibility to restructure or dissolve the business whenever it suits.



The law does not recognize the sole-proprietor business as being separate from the owner, and so the business will cease on the death of the owner. Although the owner must produce accounting information to satisfy the taxation authorities, there is no legal requirement to produce accounting information relating to the business for other user groups.

However, some user groups may demand accounting information about the business and may be in a position to have their demands met. The sole proprietor will have unlimited liability which means that no distinction will be made between the proprietor's personal wealth and that of the business if there are business debts that must be paid.

2. Partnership

A partnership exists where there are at least two individuals, but usually no more than 20 carrying on a business together with the intention of making a profit. Partnerships have much in common with sole-proprietor businesses.

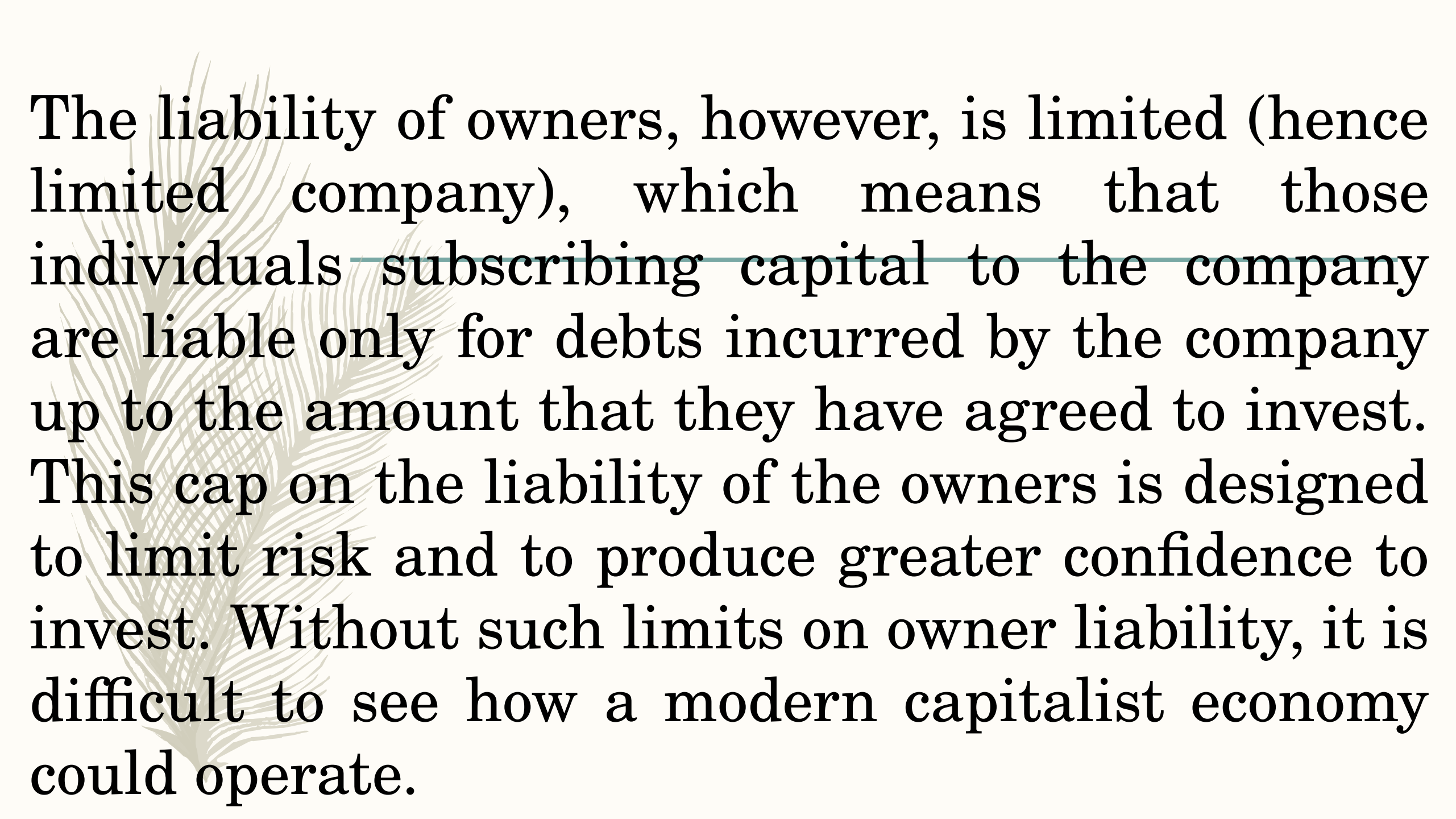
They are often quite small in size (although partnerships of accountants and solicitors can be large as they are permitted to have more than 20 partners).

Partnerships are also easy to set up as no formal procedures are required (and it is not even necessary to have a written agreement between the partners). The partners can agree whatever arrangements suit them concerning the financial and management aspects of the business, and the partnership can be restructured or dissolved by agreement between the partners.

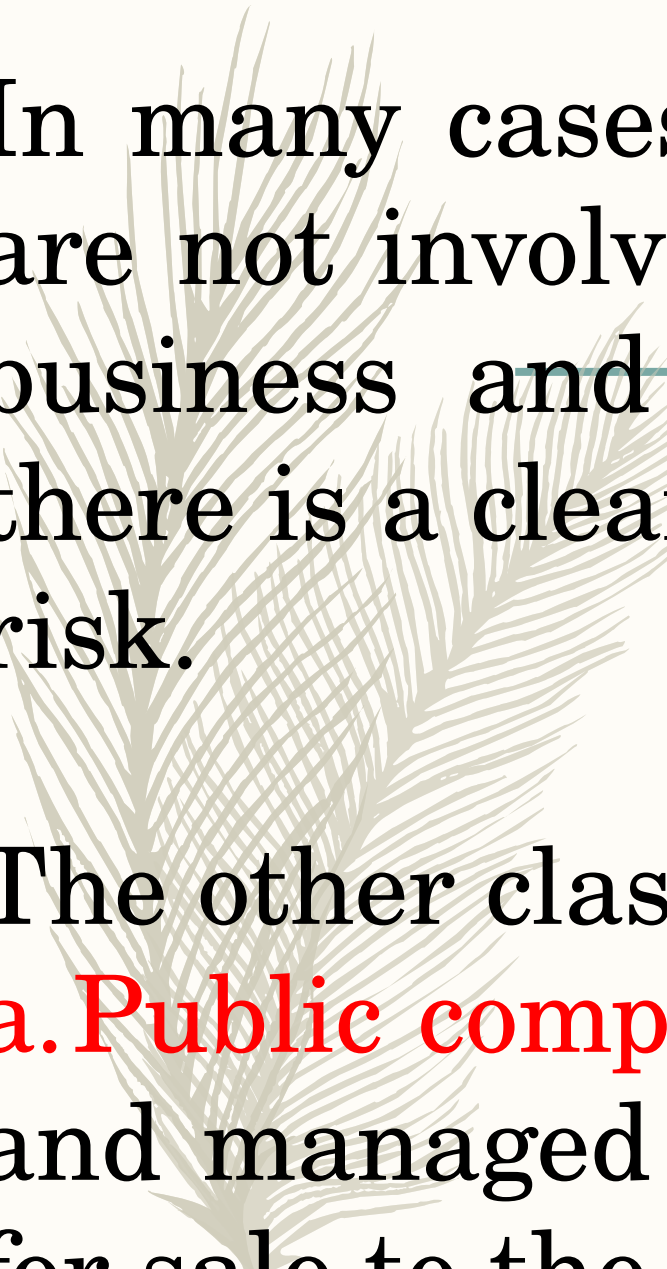
Partners of a business usually have unlimited liability, although it is possible to grant limited to partners who have no say in the running of the business.

3. Limited liability partnerships (LLPs) and Limited liability companies

Limited companies can range in size from quite small to very large. The number of individuals who subscribe capital and become the owners may be unlimited, which provides the opportunity to create a very large-scale business.



The liability of owners, however, is limited (hence limited company), which means that those individuals ~~subscribing capital to the company~~ are liable only for debts incurred by the company up to the amount that they have agreed to invest. This cap on the liability of the owners is designed to limit risk and to produce greater confidence to invest. Without such limits on owner liability, it is difficult to see how a modern capitalist economy could operate.



In many cases, the owners of a limited company are not involved in the day-to-day running of the business and will only invest in a business if there is a clear limit set on the level of investment risk.

The other classification may include:

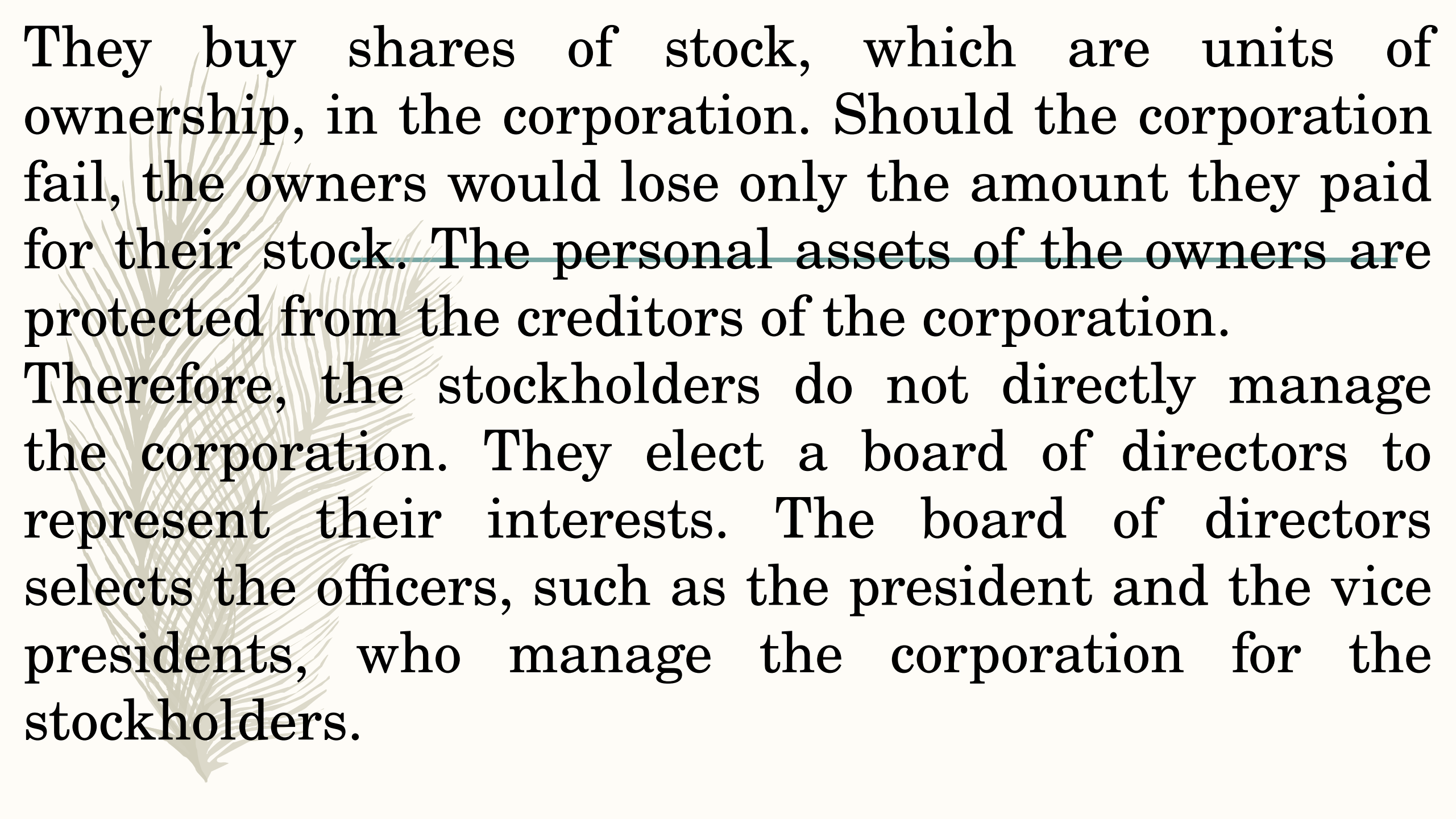
a. Public company: is the form of company created and managed by the state. It can offer its shares for sale to the general public.

b. Private company: is the form of company created and managed by the owners or private people.

Private limited company tend to be smaller businesses where the ownership is devided among relatively few shareholders who are usually fairly close to one another for example, a family company.

4. Corporation

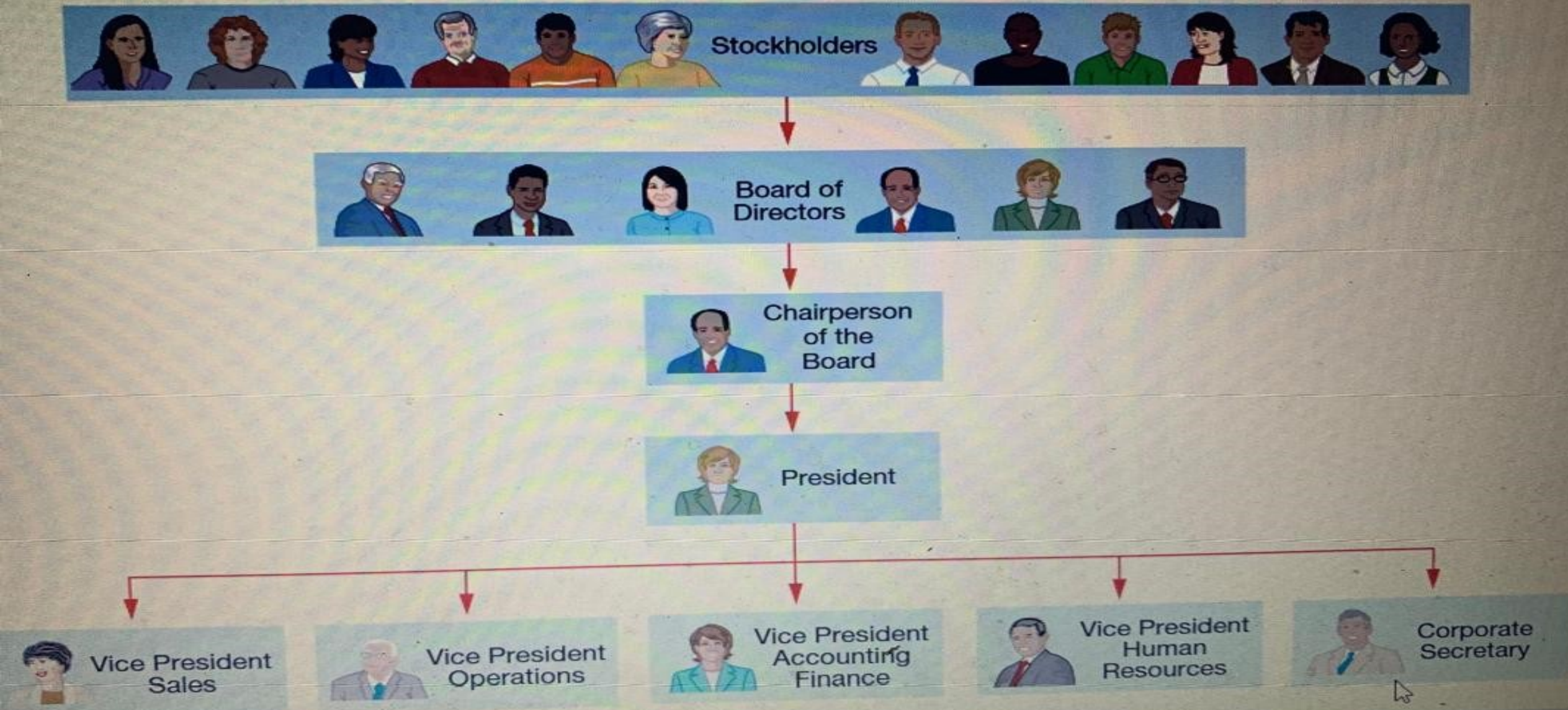
A corporation is a business that may be owned by ~~a few persons or by thousands of~~ persons and is incorporated under laws. Almost all large businesses are corporations. The corporation is unique in that it is a legal business entity. The owners of the corporation are called stockholders or shareholders.



They buy shares of stock, which are units of ownership, in the corporation. Should the corporation fail, the owners would lose only the amount they paid for their stock. The personal assets of the owners are protected from the creditors of the corporation.

Therefore, the stockholders do not directly manage the corporation. They elect a board of directors to represent their interests. The board of directors selects the officers, such as the president and the vice presidents, who manage the corporation for the stockholders.

STRUCTURE OF A CORPORATION



5. A not-for-profit

A not-for-profit is an organization that has been approved by the Internal Revenue Service to operate for a religious, charitable, or educational purpose. A board, usually composed of volunteers, makes the decisions for the not-for-profit organization. Board members have fiduciary responsibility, which is an ethical and legal obligation to perform their duties in a trustworthy manner. Their goal is to raise cash to fund their operations. Examples of not-for-profit organizations are the United Way, churches, and schools. A not-for-profit has no owners.

	Proprietorship	Partnership	Corporation	LLP/LLC	Not-for-Profit
1. Owner(s)	Proprietor—only one owner	Partners—two or more owners	Stockholders—generally many owners	Members	None
2. Life of the organization	Limited by the owner's choice, or death	Limited by the owners' choice, or death	Indefinite	Indefinite	Indefinite
3. Personal liability of the owner(s) for the business's debts	Proprietor is personally liable	Partners are personally liable ⁴	Stockholders are not personally liable	Members are not personally liable	Fiduciary liability of board members

⁴unless it is a limited-liability partnership (LLP)

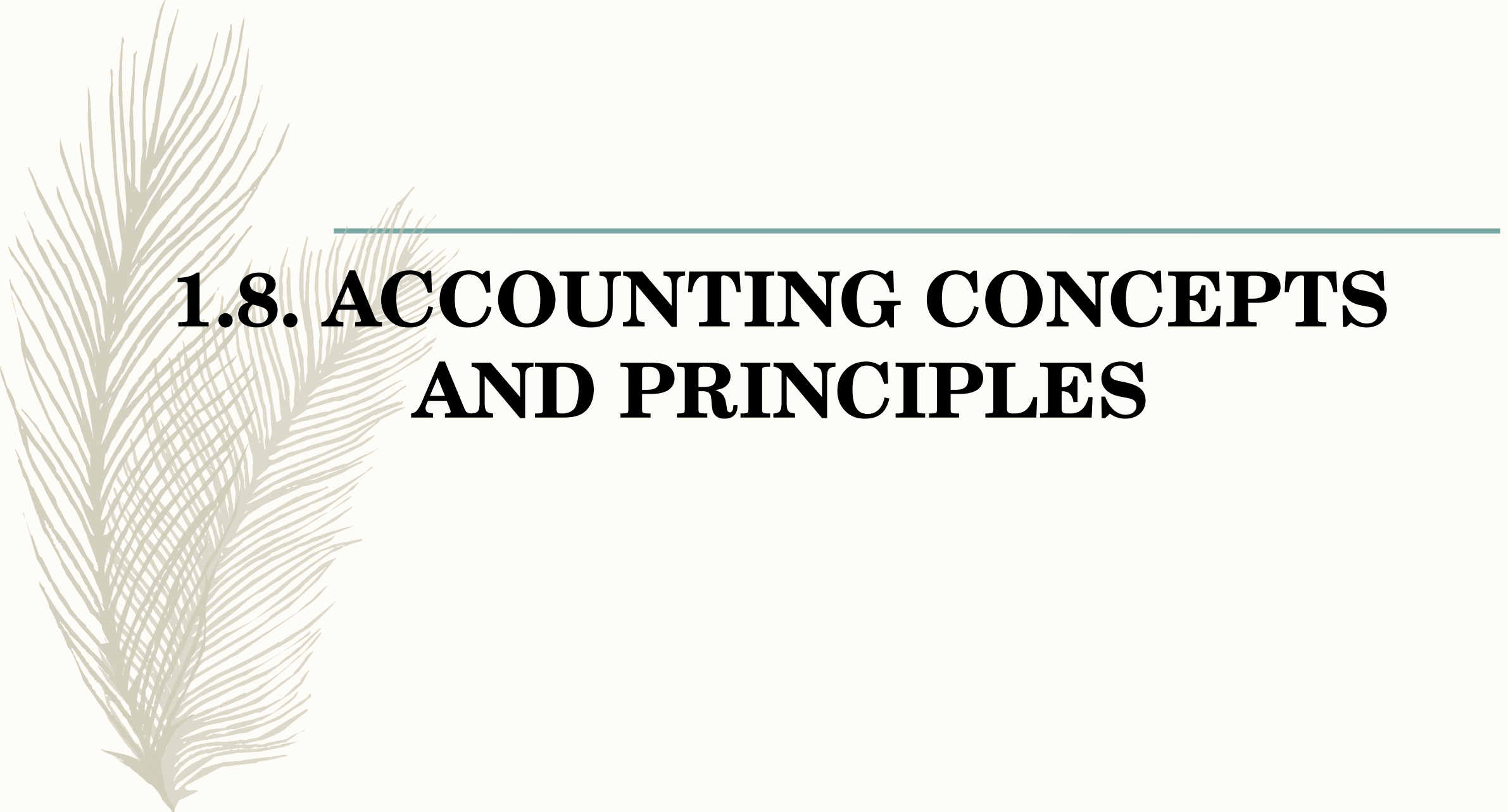
We can also group business entities by the type of business activities they perform-service companies, Merchandising companies, and manufacturing companies.

1. Service companies: such companies perform services for a fee. This includes companies such as accounting firms, law firms, repair shops, dry cleaning establishments, and many others such as financial institutions or banks.

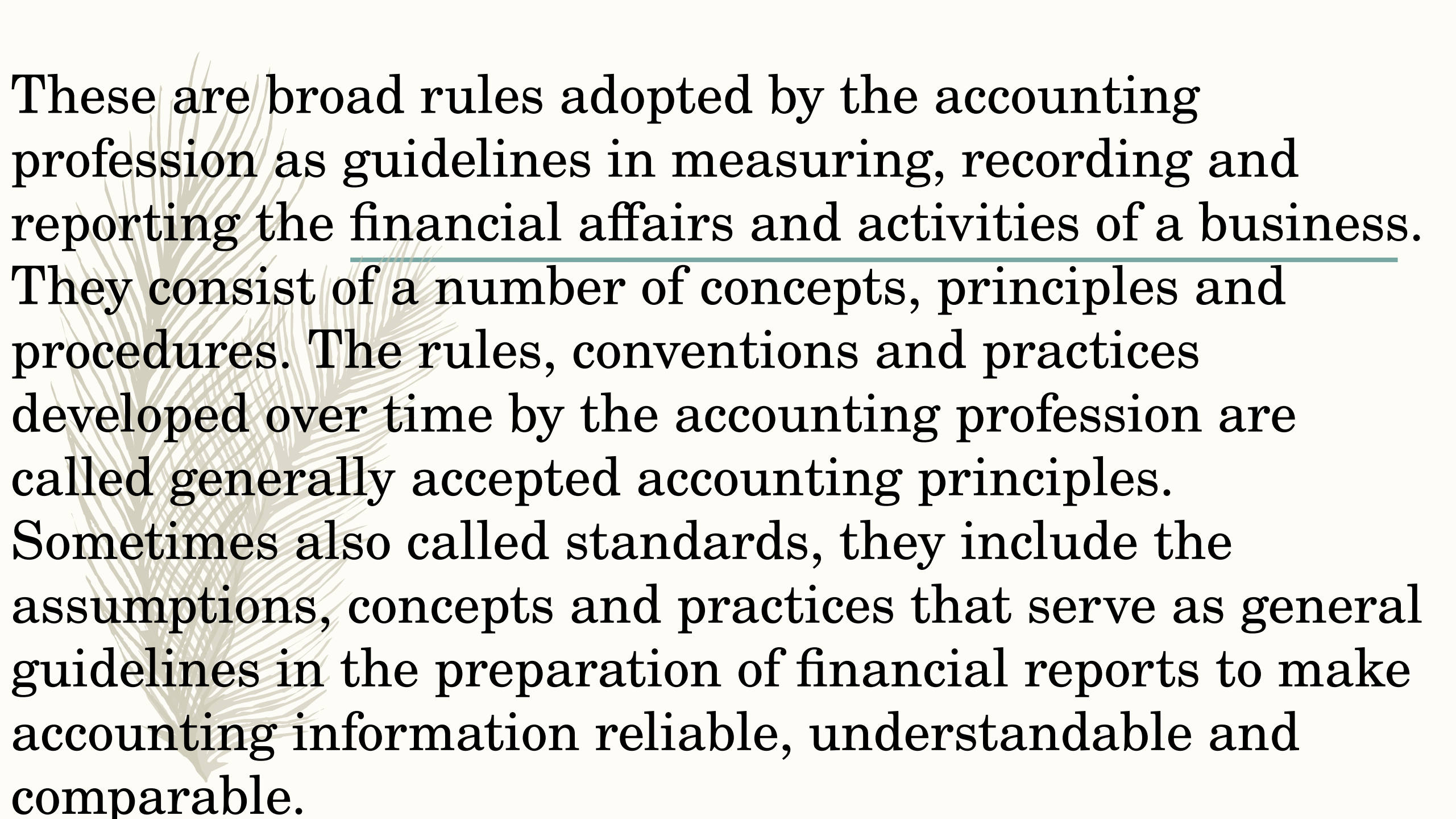
2. Merchandising companies: they purchase goods that are ready for sale and then sell them to customers. Merchandising companies include companies such as auto dealerships, clothing stores, and supermarkets.

3. Manufacturing companies: they are companies that by materials, convert them into products, and then sell the products to other companies or to final customers. Examples of manufacturing companies are auto manufacturers, and clothing manufacturers.

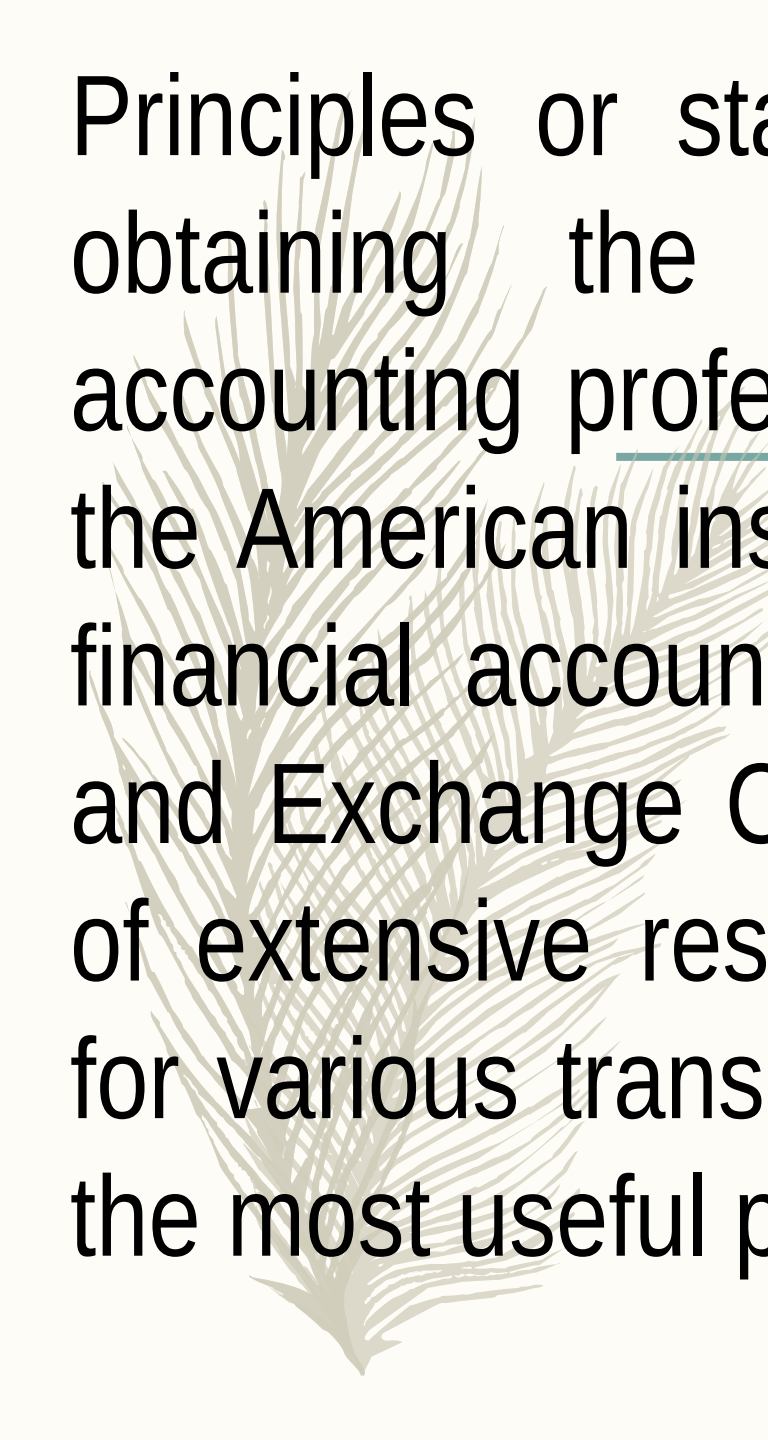
All these companies produce financial statements as the final end product of their accounting process.



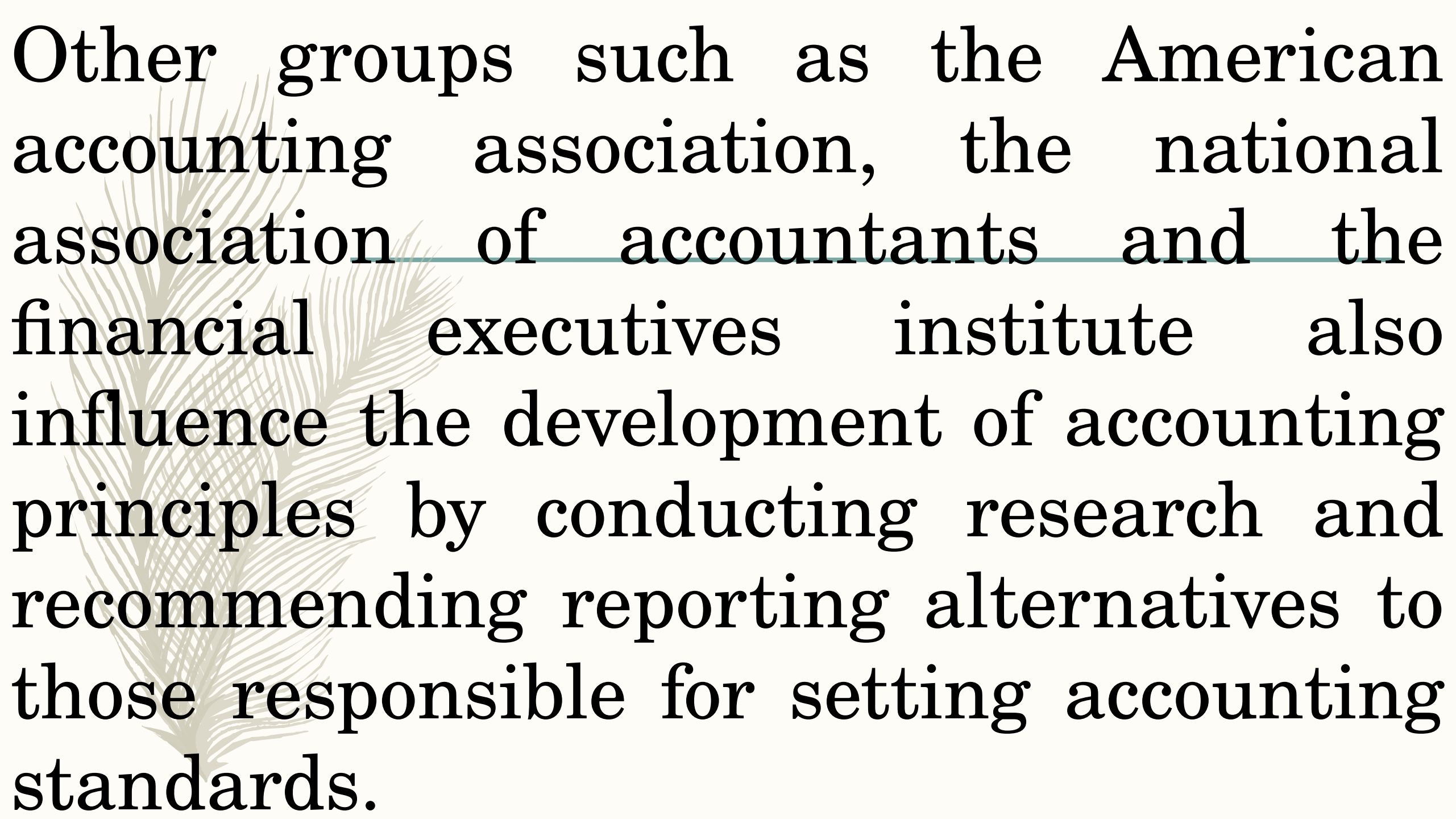
1.8. ACCOUNTING CONCEPTS AND PRINCIPLES



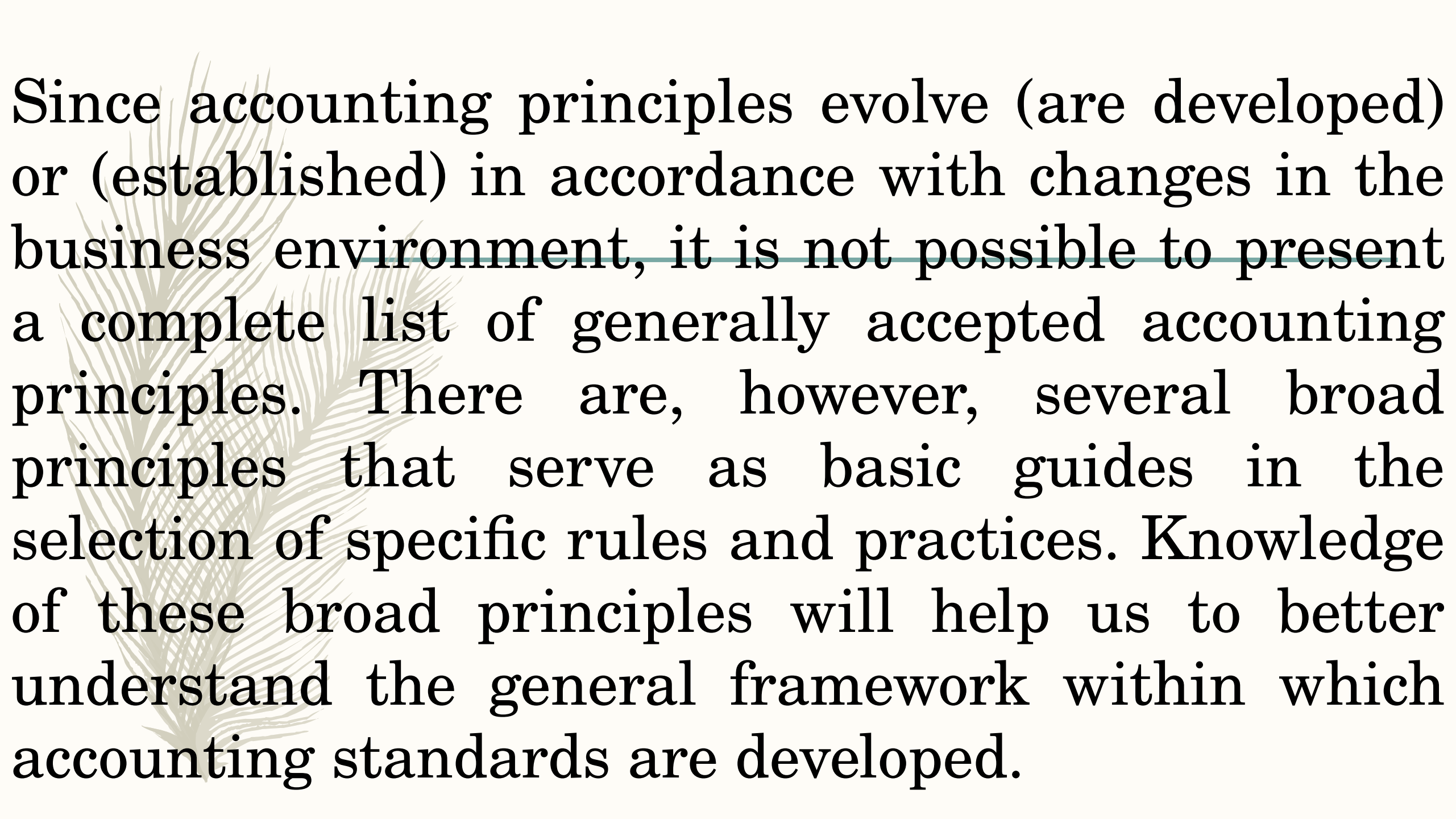
These are broad rules adopted by the accounting profession as guidelines in measuring, recording and reporting the financial affairs and activities of a business. They consist of a number of concepts, principles and procedures. The rules, conventions and practices developed over time by the accounting profession are called generally accepted accounting principles. Sometimes also called standards, they include the assumptions, concepts and practices that serve as general guidelines in the preparation of financial reports to make accounting information reliable, understandable and comparable.



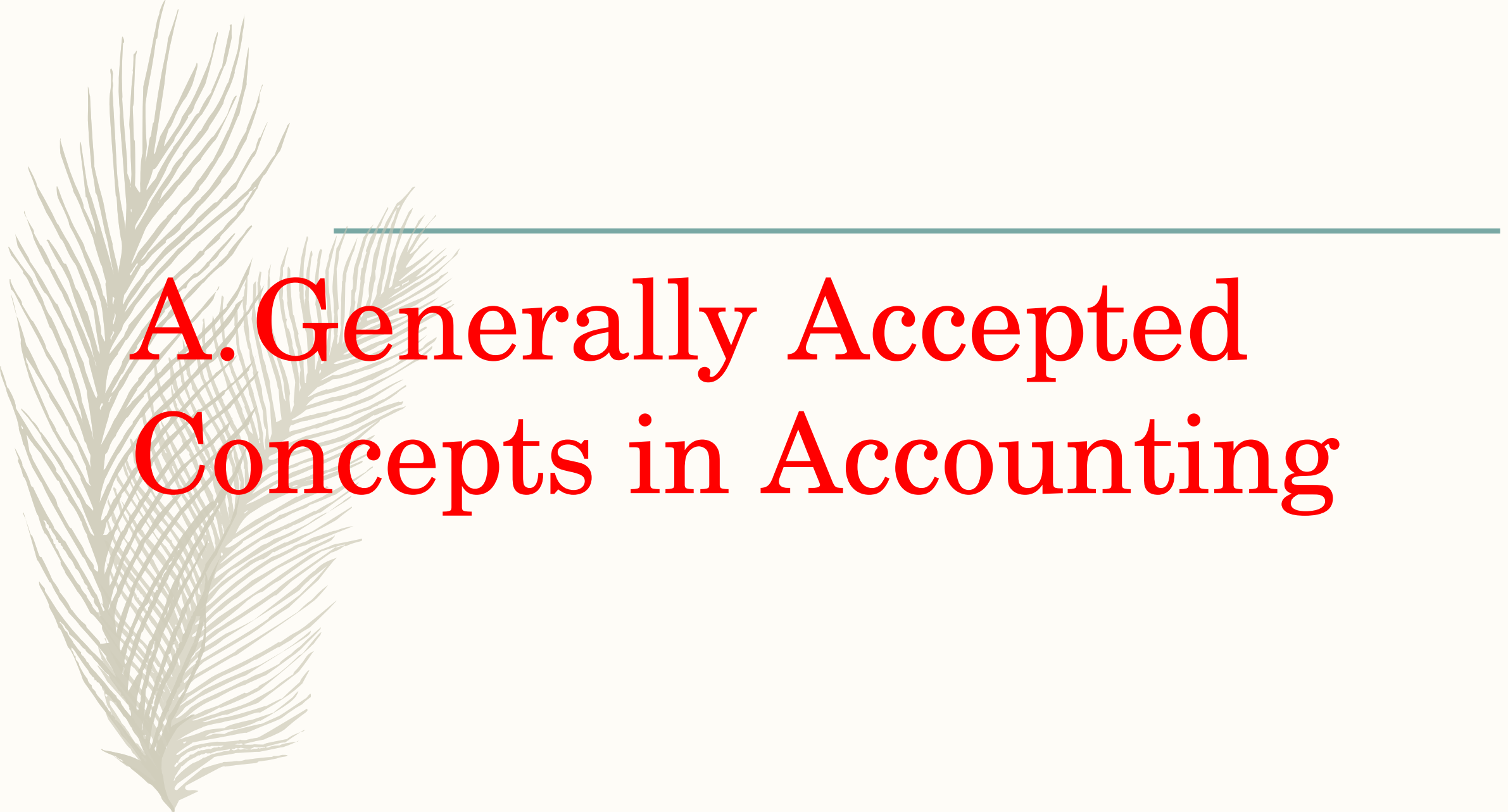
Principles or standards become generally accepted by obtaining the substantial authoritative support of accounting profession. The most authoritative bodies are the American institute of certified public accountants, the financial accounting standards board and the Securities and Exchange Commission. These groups, with the help of extensive research staffs, study reporting alternatives for various transactions and select the one that results in the most useful presentation of financial information.



Other groups such as the American accounting association, the national association of accountants and the financial executives institute also influence the development of accounting principles by conducting research and recommending reporting alternatives to those responsible for setting accounting standards.



Since accounting principles evolve (are developed) or (established) in accordance with changes in the business environment, it is not possible to present a complete list of generally accepted accounting principles. There are, however, several broad principles that serve as basic guides in the selection of specific rules and practices. Knowledge of these broad principles will help us to better understand the general framework within which accounting standards are developed.



A. Generally Accepted Concepts in Accounting

1. Entity Concept

For accounting purposes, every business is perceived and treated as if it is a separate entity that is distinct from its owner or owners and from every other business. A basic principle of accounting is that information is accumulated for a specific area or unit of accountability called an entity. An accounting entity is an economic unit that controls resources and engages in economic activity. To accumulate financial information, the accountant must be able to clearly identify the boundaries if the unit is accounted for. Business activities of the entity are separated from both the personal activities of its owners and those of other entities.

An entity may be individual, a governmental agency, a nonprofit organization, a business enterprise, or an organizational subunit. When financial reports are prepared, they must identify clearly the entity being reported on.

2. Continuing-concern (Going-concern concept)

A Balance Sheet (a statement of financial position) is prepared under the assumption that ~~the business will continue in operation.~~

Therefore, since the assets are held for use in the business are not for sale, their current market values are not particularly relevant and need not be shown. However, if a business is about to be sold or liquidated, the continuing concept and cost principle don't apply in preparation of its statements.

Because it is not possible to predict how long a business will exist, an assumption must be made. Past experience indicates that the continuation of operations in the future is highly probable for most companies.

Thus, it is assumed that the business will continue to operate at least long enough to carry out its existing commitments. This assumption is called going concern assumption or sometimes the continuity assumption.

Adoption of the going concern assumption has important implications in accounting. For example, it provides justification for the use of historical costs in accounting for plant assets and for the systematic allocation of their cost to depreciation over their useful lives. Because it is assumed that the assets will not be sold in the near future but will continue to be used in operating activities. Although the going concern assumption is followed in most cases, it should not be applied when there is conclusive evidence that the business will not continue. If management intends to liquidate the business, the going concern and historical cost principles are set aside and financial statements are prepared on the basis of expected liquidation values. Thus, assets are reported at their expected sales values and liabilities at the amount needed to settle them immediately.

3. Stable Monetary Unit Concept

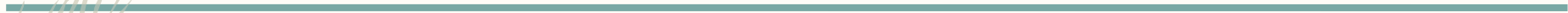
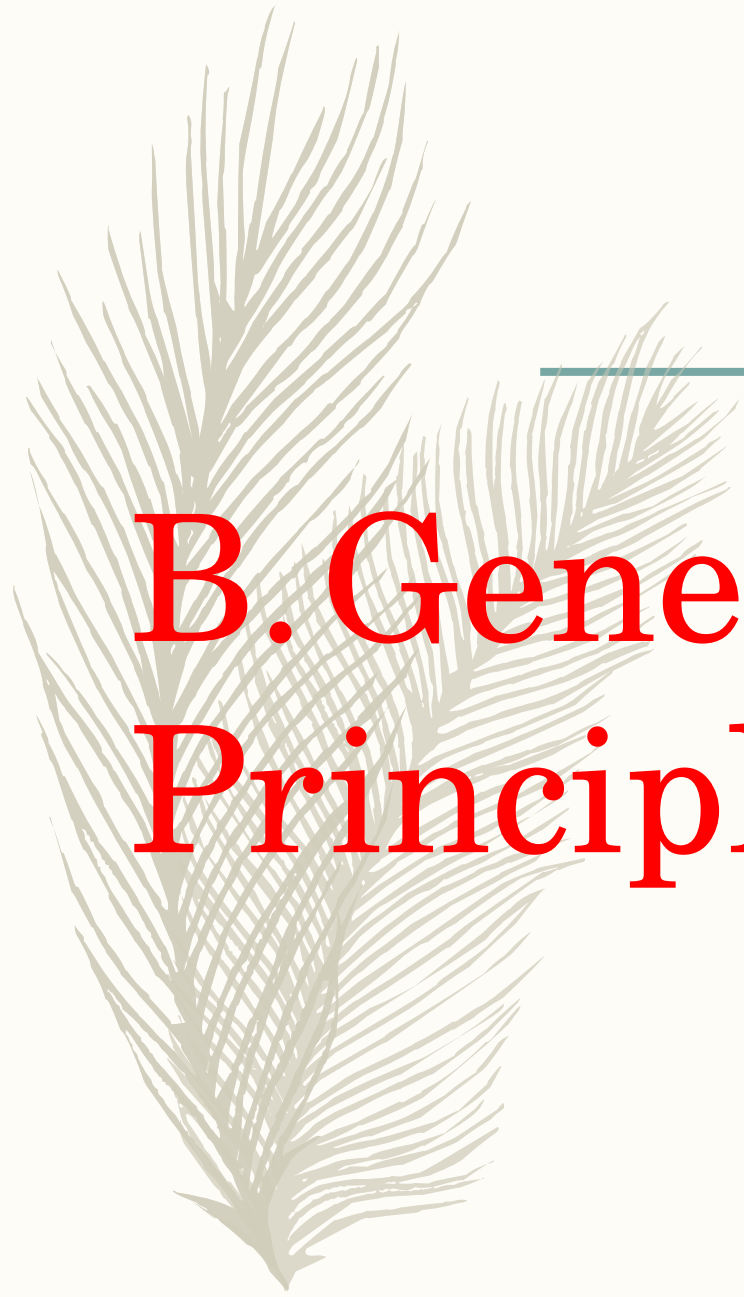
It states that accounting reports should be based on the assumption that the value of the monetary unit does not change over a period of time. Money is used in accounting as the common denominator by which economic activity is measured and reported.

Accountants assume that data expressed in terms of money are useful in making economic decisions and that the monetary unit represents a realistic unit of value that can be used to measure net income, financial position and changes in financial position.

Inherent in the use of money as a unit of measure is the assumption that the value of money remains constant over time.

4. Time Period Concept

Activities of a business are definite as occurring during specific time periods such as months or years. Then financial reports that show the results of operations are prepared for each period. A completely accurate report of the degree of success achieved by a business cannot be obtained until the business is liquidated. Only then can net income be determined precisely. Users of financial information, however, need timely information for decision-making purposes. Accountants must thus prepare periodic reports on the results of operations, financial position and changes in financial position. To do so, accountants have adopted the time-period assumption that is, they assume that economic activity can be associated realistically with relatively short time intervals.



B. Generally Accepted Principles in Accounting

1. OBJECTIVITY PRINCIPLE

The objectivity principle holds that, if possible, accounting information should be factual and verifiable. Verifiability means that the data are supported by adequate evidence that supports the validity of the data. If information is objective and verifiable, essentially similar measures and results would be produced if two or more qualified persons examined the same data. Although accountants seek the most objective evidence available, we must recognize that accounting data are not completely objective because there are many cases in which estimates must be made on the basis of personal judgments and observations.

1. THE COST PRINCIPLE

The need for objective, verifiable data is the basic reason for the use of historical cost in accounting. Resources acquired are recorded at their cost as measured by the amount of cash or cash equivalent given to acquire them. Under this principle, all goods and services purchased are recorded at cost. Costs are measured on a cash or cash equivalent basis.

2. THE REVENUE REALIZATION PRINCIPLE

An important accounting function is the determination of periodic net income the process of identifying and measuring revenues and expenses for a specified time period. Revenue for a period is determined by applying the revenue realization principle, which provides guidance as to when revenue should be recognized. Essentially, the realization principle provides that revenue should be recognized under accrual accounting when it is earned. States that the inflow of assets associated with revenue does not have to be in the form of cash. Requires that revenue be recognized at the time, but not before it is earned. Revenue is said to be earned at the time services are rendered or at the time title to goods is transferred. The principle also requires that the amount of revenue recognized be measured by cash received plus the cash equivalent (fair value) or any other asset or assets received.

Some revenue, like interest revenue and rent revenue, is earned with the passage of time and is therefore not difficult to associate with specific time periods. On the other hand, sales revenue is earned in a continuous process as the activities that give rise to revenue take place.

3. THE MATCHING PRINCIPLE

Revenue is an inflow of assets from the sale of goods or performance of services. Expenses are the assets used up in the process of producing revenue. It requires that expenses be reported on the income statement (statement of comprehensive income) in the same accounting period as are revenues that were earned as a result of the expenses.

In general terms, under accrual accounting, revenues are recognized when they are earned and expenses recognized (or matched against revenue) as assets are used.

Just as the realization principle has been developed by accountants to serve as a guide in the timing of revenue, the matching principle has been developed to guide the timing of expense recognition.

4. THE PRINCIPLE OF CONSISTENCY

Various accounting practices should remain the same from one year to another. Example the method of valuation of stock should be the same. Several generally accepted alternative accounting methods will be described in late chapter. For example, inventory methods include FIFO, LIFO, and average and depreciation methods include straight-line, sum of the year's digits, declining balance and units-of-production.

The methods adopted have a significant effect on the amount of net income reported for a period as well as on financial position at the end of the period. Although accounting statements for any given period may be useful in themselves, they are more useful if they can be compared with similar statements of prior periods.

To improve the comparability of accounting data, accountants follow the consistency principle, which requires that once a particular accounting method is adopted, it will not be changed from period to period. Without this principle, large changes in the accounting methods used rather than from changes in business conditions or general managerial effectiveness.

The principle of consistency does not mean that a company can never change an accounting method. In fact, a change to a new method should be made if the new method provides more useful information than the previous method

5. THE FULL DISCLOSURE PRINCIPLE

Its meaning is that a business's financial statements including footnotes should contain all relevant information about the operations and financial position of the entity. Some items to be reported in order to satisfy this principle include: ~~Contingent liabilities, long-term commitments under a contract, and accounting methods used.~~ The full disclosure principle requires that all relevant information affecting net income and financial position must be reported in the financial statements or in footnotes to the financial statements although this does not mean that information must be reported in great detail.

Because many alternative accounting methods exist and because the methods adopted can affect significantly the financial position and results of operations of a company, knowledge of the methods used is essential for statement users. A summary of the accounting methods used must therefore be presented as an integral part of the financial statements.

In addition to the disclosure of accounting methods, other items typically disclosed include:

- The components of inventory such as raw materials, work in process and finished goods;
- The components of the income tax provision;
- The terms of major debt agreements;
- The nature of any contingent liabilities such as lawsuits;
- Identification of assets pledged as security for loans;
- The nature of contractual agreements for leases, pension plans and stock option plans;
- Major transactions affecting stockholders equity;
- The effect of changes in accounting methods and estimates.

7. MATERIALITY

Materiality is used in accounting for refer to the relative size or importance of an item or event. Accounting is a practical art rather than an exact science. Although accountants generally apply the most theoretically sound treatment to transactions and events, they sometimes deviate from that practice because the effect of a transaction or event is not significant enough to affect decision: the effect is not relevant.

For example, small expenditures for plant assets are often expensed immediately rather than depreciated over their useful lives to save clerical costs of recording depreciation and because the effects on the income statements and balance sheets over their useful lives are not large enough to affect decisions.

In summary, an item is material if there is a reasonable expectation that knowledge of it would influence the decisions of financial statement users.

7. CONSERVATISM

Accountants must make many difficult judgments and estimates when determining the proper treatment of business transactions. In reaching a decision, they must rely on the principles described earlier in an effort to make a fair presentation of the factual effects of the transactions. _____

When this approach fails and doubt exists, accountants apply the convention of conservatism, which says in essence: when in doubt, choose the solution that is least likely to overstate assets and income for the current period. Conservatism is a useful approach in accounting but should be applied only when uncertainty prevents the reporting prevents the reporting of factual results. Nothing in the convention of conservatism suggests that accountants should understate income or assets. It is not permitted to show in financial statement a position better than what it is. It is also not proper to show a position substantially worse than what it is.

Conservatism in accounting means reporting items in the financial statements at amounts that lead to the most cautious immediate results.

Some guidelines are:

- a) Do not anticipate gains, but provide for all probable losses.
- b) If in doubt, record an asset at the lowest reasonable amount and a liability at the highest possible amount.
- c) When there's a question, record an expense rather than an asset.

8. ACCRUAL PRINCIPLE

When an event takes place or a transaction is entered into, its consequences are bound to follow. There are three conventions regarding financial statements.



9. Dual Aspect Principle

For any accounting transaction, at least two accounts are involved one to give and another one to receive